



SPONSOR: Rep. Shupe & Sen. Buckson
Sens. Lawson, Pettyjohn, Wilson

HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 246

AN ACT TO AMEND TITLE 14 OF THE DELAWARE CODE RELATING TO LIMITATION ON PUBLIC SCHOOLS' TAX RATE AFTER GENERAL REASSESSMENT.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend § 1916, Title 14 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1916. Tax collection warrant and assessment list; tax rate after general reassessment.

(b) Whenever the qualified voters of a reorganized school district have approved a specific rate of taxation or specified amount of taxation under § 1903 of this title and a subsequent general reassessment of all real estate in the county changes the total assessed valuation of the school district, the local board of education of each such local school district shall calculate ~~a new real estate tax rate~~ new real estate tax rates which, at ~~its~~ a maximum, would realize no more than ~~10%~~ 2% increase per year, for each of the next 5 years, in actual revenue over the revenue derived by real estate tax levied in the fiscal year immediately preceding such reassessed real estate valuation. However, if a district realizes a projected revenue loss that is from the amount raised the previous year and is due to the general reassessment, the district may increase the rate of taxation by no more than 10% to attempt to reach an overall revenue neutral position. In the event the qualified voters of a reorganized school district approve a specific rate of taxation or specified amount of taxation under § 1903 of this title to be collected, and there is a reassessment effective after voter approval, but before actual revenue is derived from increased taxation resulting from such voter approval, the local board of education of each such local school district shall calculate a new real estate tax rate which, at its maximum, would realize no more than a 10% increase in actual revenue over the revenue announced, projected or calculated to be derived by such voter approval and prior voter approvals. ~~Any subsequent increase in~~ After the rate of taxation is increased under this subsection, the rate of taxation shall be achieved ~~may only be increased~~ by an election of the qualified voters in such local school district according to the procedures in under § 1903 of this title or after a subsequent general reassessment of all real estate in the county under this subsection.

(c) Notwithstanding any other provisions of this title to the contrary, the school board of the district whose jurisdiction traverses county boundary lines and whose local school taxes are made different as a result of property reassessment shall levy real estate taxes in the following manner:

23 (2) In the county recently reassessed, at a newly calculated rate based on the newly established assessments
24 which at its maximum would bring in revenue equal to the amount authorized by law and by referendum, based on the
25 previous year's assessment, ~~plus the quarterly updates and the 10% increase as authorized by subsection (b) of this~~
26 ~~section~~ assessment.

27 (d) The board shall, no later than the second Thursday in July, deliver its warrant, with a duplicate of the
28 assessment list, to the receiver of taxes and county treasurer of the county or counties where the district is located.

29 Section 2. This Act takes effect on July 1, 2025, and applies to all public school tax rates after July 1, 2025.

SYNOPSIS

This Act limits the 10% increase in school property tax revenue to 2% per year for 5 years after a general reassessment.